

6.3 Detailed specific example: Hungary

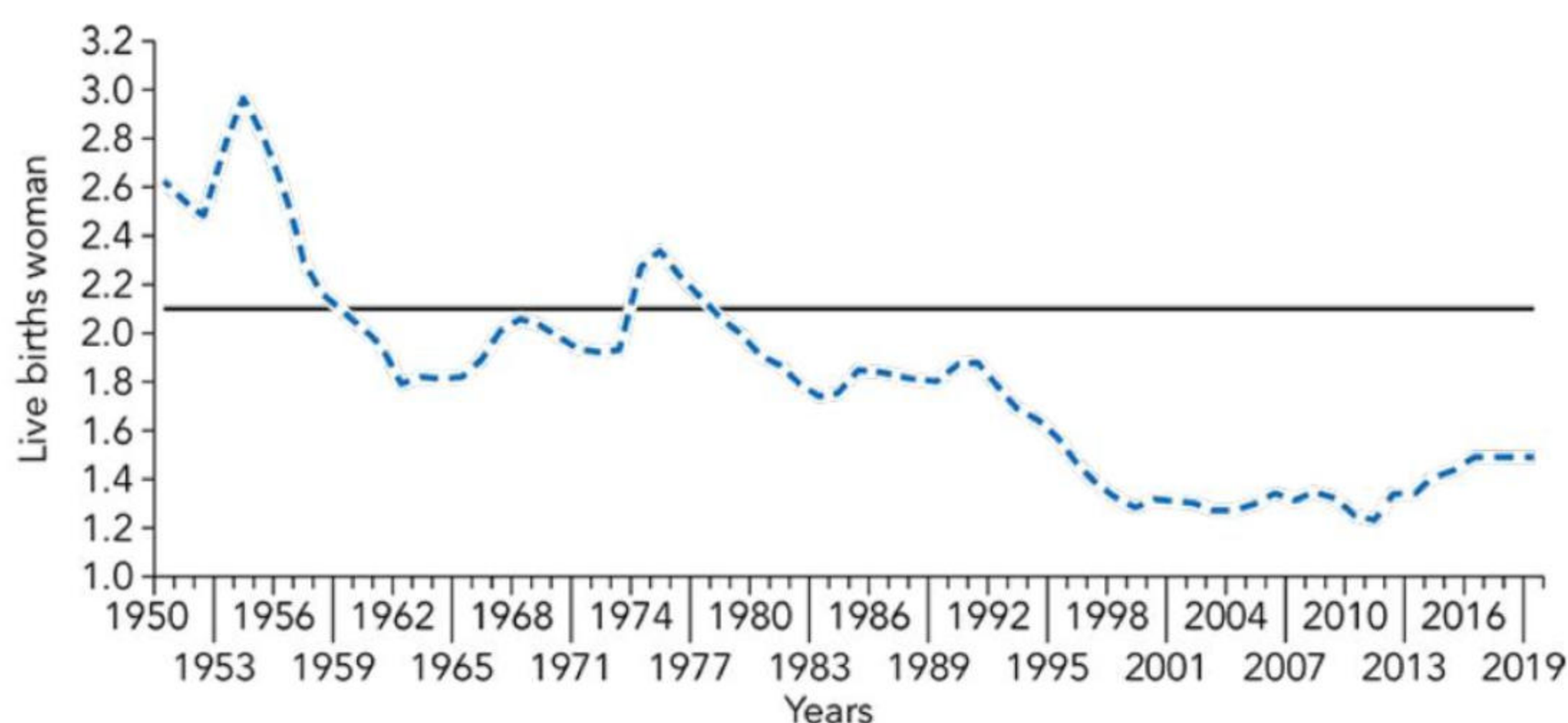


The Hungarian government has introduced many measures to increase the country's birth rate and to stop the decline of the country's population. Hungary's population reached 10.7 million in 1981 but it has been declining ever since.

Reasons for population decline

In many Eastern European countries, there was a sudden drop in fertility after the collapse of communism, which resulted in economic and social difficulties. The future was uncertain and many people delayed having children so birth rates fell significantly. On average, women do not have at least 2.1 or more children. 2.1 is the replacement fertility level. This is needed to keep the population stable. In Hungary, many young women have gone to university (In 2020, 36% of 25–34-year-old women had a university degree) and this delays them having children. In general, this means they will have fewer children. Furthermore, since Hungary joined the EU in 2004, large numbers of young adults have been moving to western European countries in search of work. At the same time, there has been minimal inward migration.

In 2011, Hungary's fertility rate fell to an all-time low of 1.23. The current government, in power since 2010, fears a 'national extinction' and has a strong demographic focus, with an objective to raise fertility to a level of 2.1 births per woman by 2030.



Source: Hungary Central Statistical Office (2021).

Source **A**: Total fertility rates in Hungary, 1950 to 2019

TASK 1: Study Source **A**

- Why is 2.1 the replacement fertility level?
- Describe the trends** in total fertility rates in Hungary from 1980 to 2019.
- Explain why the fertility rate in Hungary fell between 1980 and 2010.
- Suggest three problems that Hungary's government will face if its birth rate continues to decline.

Pro-natalist policies

The Hungarian government spends money on pro-natalist policies to stimulate population growth. The government spends around 5% of its national GDP trying to increase the birth rate. In 2015, the government announced a major new policy called the 'Family Housing Allowance Program', or 'CSOK' (the

abbreviation of the programme’s Hungarian name). For a married couple, with at least three children, buying a new house, the government would provide a subsidy (payment) of between \$50 000 to \$80 000. The average salary in Hungary is around \$11 000 to \$15 000 per year, so this is a huge incentive to have children.

Table 6.4 outlines other strategies that the government has introduced to encourage people to have more children.

Table 6.4: Strategies to encourage couples in Hungary to have more children

Tax exemptions	Women who have four or more children have a lifetime exemption from paying personal income tax.
Support for families	Loans are offered to married couples, which are written off for couples with at least three children. This debt forgiveness has been expanded to apply to existing mortgages.
Maternity benefit	The amount of maternity benefit is equal to 225% of the state pension at the time of the birth of the child. In the case of twins, it is equal to 300%.
Child-care allowance	A child-care allowance is paid monthly if the child has reached the age of 2. The amount is equal to 70% of either the mother’s or father’s salary.
Free vaccinations	Vaccinations against most childhood diseases, such as chicken pox, tetanus, measles, and meningitis, are free in Hungary.
Free textbooks	Children in their first nine years of school get free textbooks.
Free or cheap public transport	Children may use public transport for free if they are accompanied by an adult and do not yet attend school. Pupils, students, and undergraduates may use public transport at half price by showing their student card.
Support for grandmothers	The ‘Women 40’ programme makes it possible for women who have worked 40 years to retire to get more time to spend with grandchildren.

One of the criticisms of the policy is that wealthier families benefit more from bigger loans than poorer families. This is because couples need proof of a minimum income level to benefit from larger loans. Some people also suggest that the policy focuses more on human statistics than human emotions because the financial incentives put pressure on women to have children that they may not want or may not want until later in life. Couples who take out the loan and then get divorced have to pay back the whole amount within 120 days. It will take time to see if these policies will reverse population decline in Hungary. By 2020, the total fertility rate had increased to 1.56 births so it will take time to judge whether these policies work.

TASK 2

a

Give two reasons for population decline in Hungary.

b

Why is the Hungarian government so concerned about its shrinking population?

c

Outline three strategies that the Hungarian government is using to address this challenge.

d

In pairs, using Table 6.4, design your own advertisement to encourage couples to have more children.

TIP

In geography, classification is often useful. When thinking of strategies that could be used to encourage couples to have more or less children, think of classifying strategies as economic strategies and social strategies.

TASK 3: Study Source B

‘Baby machines’: eastern Europe’s answer to depopulation

The other problem with these policies is that a focus on numbers, with bonuses for each birth, can put statistics ahead of emotions. The upfront payments in the Hungarian system are of particular concern, putting pressure on women to have children they may no longer want. Couples who take out the loan and then get divorced have to pay back the whole amount within 120 days. According to the law, couples who find out they are infertile after taking out the loan are exempted from repayments, though in practice they can still face problems to get the money written off.

‘It increases dependencies, and if you’re in a bad or abusive relationship you are even less free to leave it if you’re bound together by these loans,’ said Dorottya Szikra, of the Centre for Social Sciences in Budapest.

Daniel Szalay, from Budapest, recounted how he and his wife had applied for the ‘baby-expecting’ loan last July, when she was already more than seven months pregnant. She then lost the baby. The bank told the couple that as there was no child, they would not get the benefits, even though the law stipulates they should. ‘It’s so frustrating. After this trauma we suffered, the last thing we expected is to have to go through a never-ending process to prove something with which we have already complied,’ he said.

For governments who claim national survival is at stake, these individual traumas are a small price to pay for a potential boost in the birthrate.

Source B: A news article about Hungary’s population policies from theGuardian.com

- a** Give three negative impacts of the Hungarian government’s population policy.
- b** To what extent do you agree with the last sentence: ‘For governments who claim national survival is at stake, individual traumas are a small price to pay for a potential boost in birth rate.’